

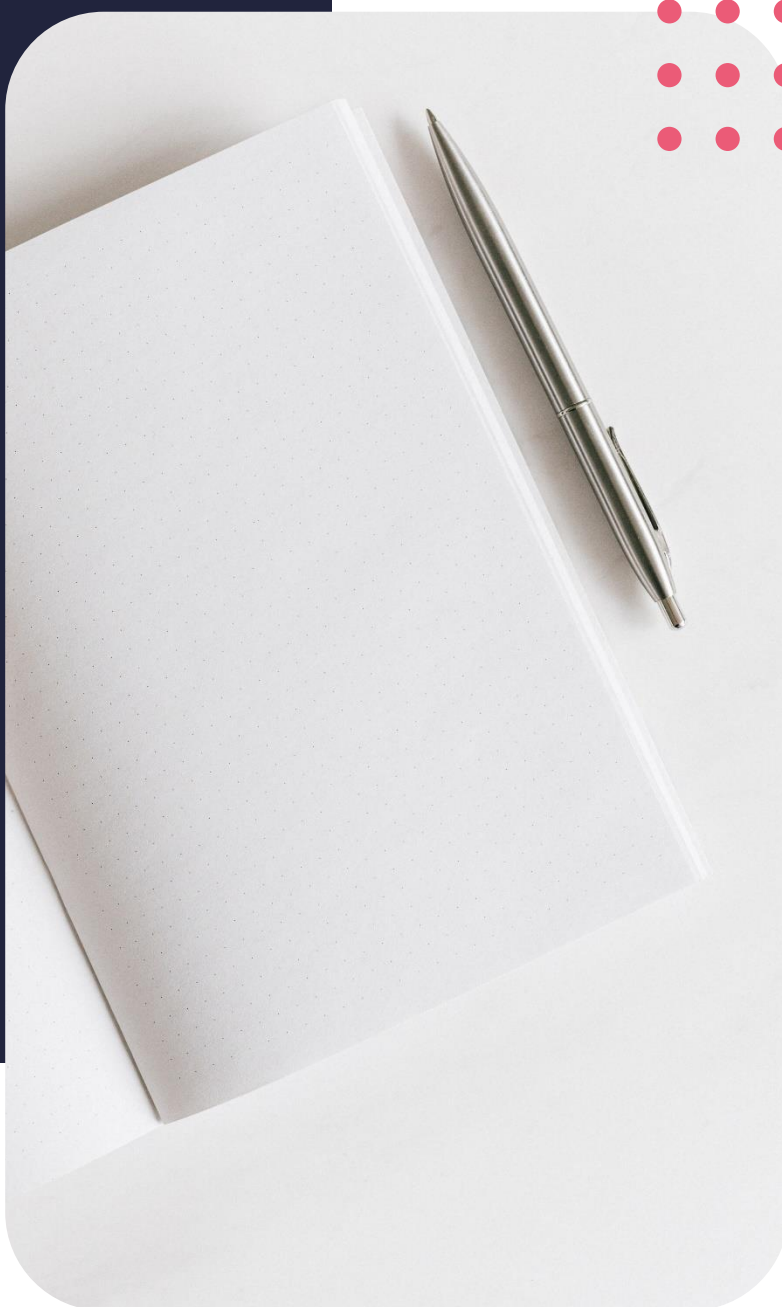
Diploma in Project Management

Change, Risk, Procurement and Acceptance Management



Contents

3	Lesson objectives
3	Introduction
3	Change management
6	Risk management
9	Procurement management
11	Acceptance management
12	Conclusion



Lesson objectives

By the end of this lesson, you should be able to:

- Change management
- Risk management
- Procurement management
- Acceptance management

Introduction

In today's lesson we continue exploring various important aspects of the planning phase of the project. These include change management, risk management, procurement management and acceptance management.

The objectives for today's lesson include talking about change management, and within that, we'll discuss how to go about requesting change, approving or denying a change, implementing approved changes, and reviewing and reporting on the success of the implementation of these changes. The next thing we're going to give you an introduction to risk management. This is a very large topic so we are going to just scratch the surface.

Then we'll talk procurement management – making buying decisions, planning and conducting procurement and controlling and closing procurement. The lesson will wrap up with a section on managing the user acceptance process.

Fun Fact

According to ACS Distance Education, 90% of global senior executives and project management experts say good project management is key to gaining a competitive edge.

Change management

In project management, there is a very simple process to follow when conducting change.

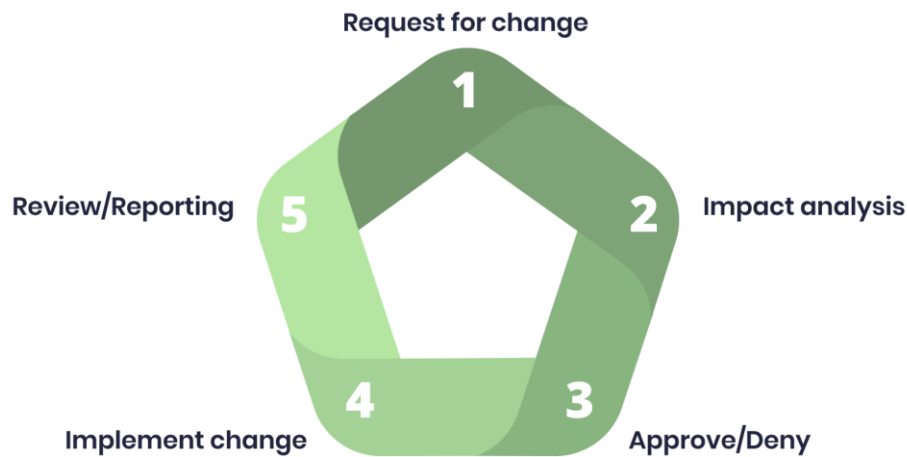
First you will request the change.

Second, you will run an impact analysis.

Third, you will approve or deny the change.

Fourth, you will implement the change if it's been approved.

Finally, you will review and report on the implemented change.



Request for change

Starting off, you would need to request a change. Now, when requesting a change, you would want to make alterations to proposed project tasks or even add on additional tasks to your project. Now, before you go ahead and start logging change requests like crazy, remember that there are 100 different suggestions that you could make. But before you go ahead and make these, you need to ask yourself some very important questions. Have you done enough research to stand by your suggestion? I remember when you talk to the stakeholders or other project team members, they may have more knowledge on the topic than you do and you don't want to come off looking stupid. So always make sure you know exactly what you're talking about and you have statistics and other things to back up your suggestion.

Secondly, is the change within your defined scope? What are we watching out for? Go forward as project managers. Worst enemy or worst nightmare? You should all know this man. I've told you many, many, many times it is your scope creep. Now, about what I'm saying here is that are you going to change your defined scope? So is this addition to your project going to now create a lot more work? Is it going to then push your budget out as well as your timeline and then push you into scope creep?

The next thing you need to consider is will implementing the change contribute to your project goals? Does this change directly line up to the success of your project, or is it something that is just nice to have and it's not actually going to affect whether or not your project is successful, but it will add some value in other areas. Would this change be considered a high priority now? Who can remember what RAG stands for? Remember that we use RAG to identify high level risks, medium level risks and low level risks.

The next question we would ask is what resources would be needed to implement this change? Now, remember that resources can be equipment or people – anything that you need in order to accomplish a task. Is there room in your project for other resources to be moved around in order to make this change happen? All in all, you just need to establish whether or not it's going to be worth all the effort and all the other things that you'll need to do in order to accomplish this change request.

Now, something that's very important to do at this stage is to distinguish between necessary and nice-to-have changes. There are a few questions you can ask yourself here when determining whether it's one or the other.

Firstly, what external business change has resulted in this change request? What internal factor has resulted in this request? How will this change affect the time taken to complete the project? And how will this change affect the use of the end product? And lastly, what cost saving will be made by implementing this change? Now, with these key questions, what we are trying to establish is, did something happen externally to a project that has made you think of this change? Did a competitor come up with a new idea that you now need to step your game up and change your project? Did something occur internally that is now affecting your project and possibly given you more room for improvement? Or has something happened that's made you need to cut down on your project scope?

Impact analysis

The best thing to do would be to create a change request form to be completed in which each question is thoroughly unpacked.

Once you've done that, the next step would be to do what is called an impact analysis. And this is going to detail the sequence in which your change will be executed, the estimated cost and resources that would be required in order to implement this change. And also the priority is that something that should be done straight away because it'll have a knock on effect that would be positive in terms of the rest of your project life cycle, or is it something that could be done at the end of the project when all the essential work is done? Once you've completed your impact analysis, you would then move on to change control where you would present your proposed change to your stakeholders.

Approve/deny

Your project manager would be able to approve any minor changes if the situation allowed it. But remember that any major changes would need to go through your change management board, which would be made up of key stakeholders that have a very high level of interest and influence than your project. But if it's something very small that's not going to have a knock-on effect in your project, your project manager may be able to make that decision without calling meetings and scheduling and time with your change control board. Now, during change control, there are three possible outcomes. Firstly, you can get your change approved, in which case the stakeholders and the clients approve your change and you've done all your research correctly. You will then have an approved change.

The second option, unfortunately, is your change will be rejected. It has not been found feasible within the scope of your project to introduce this change. No one wants the change to get rejected, but in certain scenarios it is necessary for the success of the project. You can't say yes to every single minor change that your team would like to make, unfortunately.

Your third option is somewhere in the middle, and that is called change deferment. And what this means is the change will be made, but only later on, and it will be categorised more as a nice to have element than something that is essential in terms of your project success factors.

Remember that there are also special cases and certain situations you change. Control board may not be the only ones you need to approve the changes that you want to make. You can also have urgent or emergency cases. This is a change that must be introduced as soon as possible. So you may not have time to call a status meeting or an emergency stakeholder meeting. For example, if there was a security incident within your project, you would need to patch that up as soon as possible to avoid any breaches within your security.

In the scenario, you would then bypass the change management board and go ahead and make the change as soon as possible. And this would then be classified as an emergency change. There can also be defined as changes that are required quickly due to a pressing need, such as a legal requirement or business need. But they are not related to restoring a service. In the case of restoring a service, you would still need to contact your stakeholders first and then go ahead with your approved change.

Implement change

Now, if everything's gone well, to this point, you will then have to start implementing your change and then you would need to update your project deliverables to align with the change that you would like to make. You would then need to update your stakeholders on the change request that has now been approved. And this way you can check if they have any suggestions or anything to add to your change. You would also include the detail and the change control register. And remember, within project management, you need to keep everything under control, and you need to know exactly what is going on.

Your documentation is vital in this process. So, make sure that throughout the process you are updating your change control register. Another important thing to do is always keep your project team informed because they may know a more effective way to do something that could end up saving you time and money within your project. Then you also need to

incorporate change costs, time and scope into your project plan and your project schedules. As I said before, keeping a documentation up to date is vital, especially when you can use this project as a benchmark for future projects as well.

Review/reporting

Once you've completed the implementation of your change, you would then move on to your change review. And this is when you will evaluate the impacts of the project change on your project outcomes. You will ensure that all the information captured is detailed and accurate, and then you will also assess the impact on business operations.

Risk management

The first and most important step within risk management is identifying your risk. There are a few main types of risk categories.

Firstly, it would be financial risk. Do you stand to lose money if this risk occurs?

You have scheduling risks. So will your project go over its intended timeline? If this risk happens, will you become late on your project deadlines and therefore have unhappy stakeholders?

Will your team's performance be affected or even the performance of your product or service?

Technical risks. As we all know, we rely quite heavily on technologies these days.

If there is a technical risk, it can have a catastrophic effect on your project's success and then also unforeseen circumstances, which can really be anything weird that happens in the world.

Weather is extreme weather conditions or sudden change in legal requirements. Unforeseen circumstances are the wild cards within your identifying risks.

How can you identify risks?

How can we go about identifying these risks while you can interview your key stakeholders and ask them questions beforehand so that you can prepare and then ask them questions based on how they handle similar projects? In the past, examples of questions could be what were the main risks that you encountered and how did you prepare for them? You could then have a brainstorming session with your client as well as your project team and identify key things that they've identified as a risk within your project that perhaps you have not yet considered quite a popular approach that is also used as called a SWOT analysis, and that evaluates the strengths, weaknesses, opportunities and threats and that allow apply to evaluate your project as a whole and identify some weaknesses.

You could also ask your stakeholders and team members to fill out a SWOT analysis because maybe they will have thought of some things that you have not. And there's also a concept called known unknowns.

So in a known known. These are things we are aware of and that we understand. These are typical things that could go wrong within a project. They're being public holidays within the month. These are things that we can identify and prepare for. Early on then we've got known unknowns and these are things that we are aware of but don't completely understand.

KNOWN UNKNOWN	KNOWN	KNOWN KNOWNS Things we are aware of and understand.	
	UNKNOWN		
		KNOWN	UNKNOWN

Then we've got known unknown and these are things that we are aware of, but we don't completely understand.

KNOWN UNKNOWN	KNOWN		KNOWN UNKNOWN Things we are aware of but don't understand.
	UNKNOWN		
		KNOWN	UNKNOWN

Then you've got unknown knowns which are things you understand but are not aware of.

KNOWN UNKNOWN	KNOWN		
	UNKNOWN	UNKNOWN KNOWN Things we understand but are not aware of.	
		KNOWN	UNKNOWN

And finally you've got unknown unknowns and these are things that you didn't even consider were possible that could happen within your projects. These would be considered your wild cards.

KNOWN UNKNOWN	KNOWN		
	UNKNOWN		UNKNOWN UNKNOWN Things we are neither aware of nor understand.
		KNOWN	UNKNOWN

Analyse & respond to risks

Now, we've evaluated our risk and we need to decide upon how we are going to handle that. And determine how we are going to analyse and respond to the risk while your first option is accepting the risk and by accepting the risk, you acknowledge that it may or may not happen and the consequences of this risk have been realised.

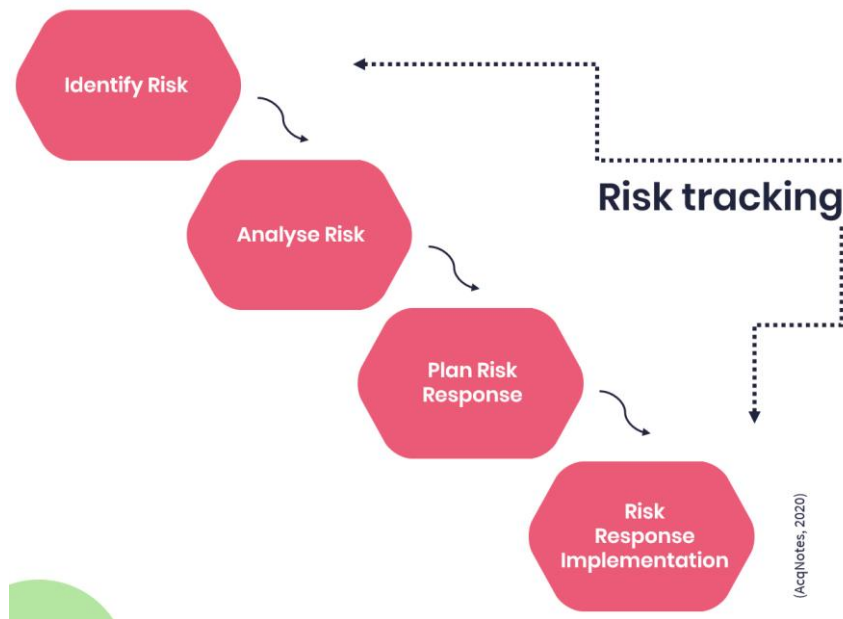
And the scenario you kind of it's not going to be catastrophic to your to a project if this risk happens. But you're also going to obviously try and avoid it to the best of your abilities. But the realisation of the risk, as I said before, will not be catastrophic to your project, so it may not be worth in investing the additional time and effort into avoiding it. Then we've got avoiding risk when the risk can have a large scale impacts on your project. SuccessFactors, it may be advisable to choose a different course of action. So if this particular risk may happen, if you do a certain process, it might be worth your time to go and evaluate the process again to ensure that you don't encounter this risk or that this risk isn't realised. Then you also have the option of transferring risk, and this is where you have that risk over to a third party, and they are made responsible for elements of the project, which then takes accountability away from your team, therefore alleviating the risk. And lastly, we've got mitigating the risk, and this is when your risks are evaluated and strategies are put in place to lessen the impact of that risk occurs. So, yeah, you're accepting the risk, but you've also got a backup plan.

Risk matrix – measuring and prioritising risks

A popular tool when working with risk is called a risk matrix. And this is how you measure and prioritise your risks. So we've got impacts and then we've got likelihood. Meaning, how likely is it that this risk might actually occur and what the impact will be on your project and you can see that we've got a broken down into very, very likely, likely, possible and unlikely and very unlikely. And along the horizontal, we've got negligible, minor, moderate, significant and severe. And you can see there how the colour coding correlates to RAG review status we looked at earlier in the course – the red, amber and green colouring.

		Impact →				
		Negligible	Minor	Moderate	Significant	Severe
Likelihood ↑	Very likely	Low Med	Medium	Med Hi	High	High
	Likely	Low	Low Med	Medium	Med Hi	High
	Possible	Low	Low Med	Medium	Med Hi	Med Hi
	Unlikely	Low	Low Med	Low Med	Medium	Med Hi
	Very unlikely	Low	Low	Low Med	Medium	Medium

As an example, let's create a risk register and I've based this on an office relocation. Now, this could include moving our office or moving office equipment. If you've had equipment damaged in the past, then you could call this a likely risk and it would be severe consequences for your machinery if any of it was damaged. Now, let's talk about the risks associated with relocating an office. If you had a risk register for this, your risk I.D. would be one. The description would be equipment damage. Your risk category would be technology. For the risk owner we're going to just put John Doe. Then our impact would be very high because we're an I.T. company and having damaged equipment is going to prevent staff members from doing their work. We've put the risk level at medium because we've had a similar incident happened before and our risk response is going to be avoiding it. And we can avoid this by getting in proper packaging materials like bubble wrap and also giving staff training on how to correctly dismantle and reassemble their computers and their workstations.



Of course, it is key that monitoring and tracking takes place at every stage of the process!

A quick last tip on the topic of risk management.

We need to mention the RACI Matrix as it can work wonders for your risk management program: *It clearly assigns responsibility for specific aspects of a project.* This helps with monitoring and tracking, eliminates confusion and the finger-pointing when things don't go according to plan.

The **RACI model** is a straightforward tool used for identifying roles and responsibilities and avoiding confusion over those roles and responsibilities during a project. The acronym **RACI** stands for: Responsible: The person who does the work to achieve the task.

Responsible: The person who does the work to achieve the task. They have responsibility for getting the work done or decision made. As a rule this is one person; examples might be a business analyst, application developer or technical architect.

Accountable: The person who is accountable for the correct and thorough completion of the task. This must be one person and is often the project executive or project sponsor. This is the role that responsible is accountable to and approves their work.

Consulted: The people who provide information for the project and with whom there is two-way communication. This is usually several people, often subject matter experts.

Informed: The people kept informed of progress and with whom there is one-way communication. These are people that are affected by the outcome of the tasks, so need to be kept up-to-date.

Procurement management

Let's start by understanding what procurement is. Procurement is acquiring skills, products or services from a third party? This exchange is governed by contracts that would determine the quality, your deadlines or change times and also the vendors.

Now, let's talk about the decision to make something yourself or to buy or outsource it.

As you can see from this table there are pros and cons to both options. We suggest you take a screenshot of this table as you will need it just now.

Make	Buy/Outsource
Risk ownership	Transfer risk
Resource availability	External expertise
Direct quality control	Supervisory quality control
Unexpected costs	Measurable costs
Risk of scope creep	Scope controlled

Make-or-buy decisions usually arise when a firm that has developed a product or part—or significantly modified a product or part—is having trouble with current suppliers, or has diminishing capacity or changing demand. Make-or-buy analysis is conducted at the strategic and operational level.

So, here's a lesson challenge for you. Using the table you have just seen to guide you, tackle this: If you needed to have photos taken of a potential building site would you hire a photographer or let a staff member take them?

The procurement plan

We trust that you would have come to the decision to rather hire a professional photographer in that situation. Carefully planning procurement can help stakeholders decide whether outsourcing is a viable option. The procurement plan details all items/services that need to be sourced externally. Once you have identified necessary external resource you will need to supply your vendors with a statement of work. A SOW defines exactly what work is required for the procurement.

Conduct procurement

Once you have your Procurement Plan you would then conduct your procurement and this is where you would evaluate potential sellers using bid packages, bidder conferences and stakeholder evaluations. And here you would select the most suited to handle the work and in some cases even multiple vendors may be chosen depending on your particular requirements.

Control procurement

Once you're done with conducting your procurement, you would then move on to controlling your procurement. And within controlling cricket, this is going to reinforce your contractual obligations, meaning what you have agreed upon with your vendor in terms of cost, timeline and even the scope of work. Just something I would like to remind you of, making use of your comment does not mean it is no longer your problem, it is still your project. And anything that you've sourced from somewhere else is now your problem. So in order to combat this and show that you've scheduled status meetings and regular quality evaluations to avoid any nasty surprises at the end of your project.

Close procurement

Once the work is done and you're happy with the standard that you've been delivered, you will move on to closing procurement. This is where you would outline your completion criteria. In other words, what is the product or service that you require at the end of the day? And it will all be outlined in your contract.

The procurement close closure or suing involves processes such as finalizing any open claims. In other words, settling anything that is still outstanding. Updating your records and archiving them for future use.

The next time you need a similar product or service, you can then use your previous purchases as a guideline. Financial closure. Settling any outstanding costs. And you will then audit the procurement and evaluate how well everything went.

Your last appeal will be then to conduct your final report on performance. So how well did they perform as your vendor? Another incredible resource and project management is lessons learned. This is where you step back and evaluate your performance as well as the performance of those around you. And you identify places that could be improved in the future.

Acceptance management

What is acceptance management from project initiation onwards, the focus of the project processes will take place in order to gain acceptance from the customer.

The project will never be completely completed in a satisfactory manner and within your project budgets. What this means is that you need to establish what would be considered an acceptable outcome by your client and how you would go about evaluating this in a step by step manner as you go through the project process.

Now, there's quite a handy tool within this process, and that's called your uses stories, and this is a requirement used for listing of functionalities or features by writing them down in a very simple structure. And this is used to help your developers ensure that deliverables are completed correctly. Another reason this is quite a helpful process is it helps you determine what the customer sees as a deliverable by breaking it down into the steps. You can ensure that, you know, at every check and meeting that one of these deliverables is presented to the customer. Because if you spend three months working on your back end things that you can't show them, they're going to start wondering if you're actually doing any work.

The best way to explain this to all of you is to run through Susan's user story. And we're going to do this by running through the following structure and let's relate this back to our setting up a website to sell shoes online example we used in previous lessons.

Let's say that Susan is a manager of the website. So as a manager, Susan wants to be able to alter stock numbers, meaning she wants to be able to log onto the website after she's done stock takes within the warehouse so that she can change different numbers on the site to make sure that they're not selling shoes that they don't have.

So as a manager, Susan wants to be able to alter stock numbers, meaning she wants to be able to log onto the website after she's done stock takes within the warehouse so that she can change different numbers on the site to make sure that they're not selling shoes that they don't have.

Can you see how very easily adaptable this process is? And there are tons of different ones that you can do here. But that's just a very basic example of what a user story would be. Now, if you went back to your clients at the end of the week and they said, what have you what have you accomplished this week, you could now say that you've got to use a journey for the manager that allows them to then update stock numbers that were then transferred to the website as well, making sure that the details are always accurate on site. Now, that's a lot more impressive than going into a meeting and saying, oh, we've been doing a lot of work on your database and the background when your client actually doesn't have a clue what you're talking about. So this is a nice way to keep them updated throughout the process. And by giving them this user journey that would then become your project deliverable.

Complete deliverable

All deliverables and tasks should align with the project scope, the final deliverables must be documented before they are ready to be presented to the customer.

Complete acceptance test

The presented product to services would then evaluated in the following ways.

They will go ahead and inspect your deliverables compared against your contract. They will review the quality of your product and then they will measure the costs that you estimated versus what it actually costs to develop.

They will also evaluate your project timeline versus your actual timeline. So here we see the value in making sure that we have as close as possible an estimate to the actual results.

Then the process used to develop the product or service will be reviewed. Very often, you will also have a third party audit the work that was done.

Review acceptance test

The customer will evaluate all those elements in line with the documentation and will document anything that is not in line with your project scope or within your requirements, which will then need to be fixed. Once that is complete, we'll move on to auditing the results of the test and you will evaluate functional outcomes in relation to your project requirements. In other words, have you delivered on what you promised when you initiated this project?? If all has gone well, they will then move on to accepting your deliverables.

Accept deliverables

If all has gone well, they will then move on to accepting your deliverables.

Acceptance management process

The full acceptance management process we have just run through. Feel free to screenshot this diagram as it may come in handy for future project planning.

Conclusion

We'd like to leave you with a challenge. Come up with your own user story – it can be to supply a product or a service to a customer or company. Then list the things that could happen as you move through the acceptance process. We have now covered all we wanted to cover in the Planning Phase of the Project Management lifecycle.
